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An emotion-based segmentation of bank service customers

Cristina Calvo-Porral
Business Department, Faculty of Economic Sciences and Business, University of A Coruna, A Coruna, Spain, and
Jean-Pierre Lévy-Mangin
Sciences Administratives, Université du Québec en Outaouais, Gatineau, Canada

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Abstract

Purpose – Emotional and affective responses are experienced during service use that determine customer behavior; and for this reason, bank services require an better understanding of the emotions customers feel in service experiences. This research aims to examine whether different customer segments exist in the bank services industry, based on the emotions they experience when using the service.

Design/methodology/approach – The factors were examined through confirmatory factor analysis (CFA). Then, two-step clustering analysis was developed for customer segmentation on data from 451 bank service customers. Finally, an Anova test was conducted to confirm the differences among the obtained customer segments.

Findings – Our findings show that the emotion-based segmentation is meaningful in terms of behavioral outcomes in bank services. Further, research findings indicate that bank service customers cannot be perceived as a homogenous group, since four customer clusters emerge from our research namely "angry complainers", "pragmatic uninvolved", "emotionally attached customers" and "happy satisfied customers".

Research limitations/implications – Our findings show that the emotion-based segmentation is meaningful in terms of behavioral outcomes in bank services. Further, research findings indicate that bank service customers cannot be perceived as a homogenous group, since four customer clusters emerge from our research namely "angry complainers", "pragmatic uninvolved", "emotionally attached customers" and "happy satisfied customers", being the "angry complainers" the most challenging customer group.

Originality/value – The study is the first one to specifically segment bank customers based on the emotions they experience when using the service.

Keywords Bank services, Emotions, Segmentation, Customers, Service use

Paper type Research paper

1. Introduction

The bank services sector is tremendously dynamic and has experienced a dramatic increase in competition as a result of the sector deregulation, as well as great changes due to globalization, the adoption of new technologies and increased consumer demand. In this highly competitive banking environment, it is becoming enormously important for financial service providers to understand their customers' needs and demands (Howcroft, 1998; Kaynak and Harcar, 2005). Accordingly, banks and financial institutions have shown a renewed interest in marketing their products and services more effectively; for this purpose, banking requires an in-depth understanding of the emotions customers feel in service experiences and service use (Ou *et al.*, 2017; Mogaji *et al.*, 2018; Monferrer *et al.*, 2019). In fact, customer emotions and emotional bonds call for further research in order to determine customer behavior. However, in utilitarian service settings like banks, emotions have not been fully researched (Bigne and Andreu, 2004). In this context, the authors assume that despite the utilitarian nature of bank services, it seems possible that customers experience different emotions when using the service; consequently, this study will use emotions as the criterion for customers' segmentation in the bank sector, focusing on the emotions that arise and are experienced during the service usage.

Previous studies have focused on consumers' emotional response in product consumption (Richins, 1997; Bagozzi *et al.*, 1999; Dubé and Menon, 2000). However, so far, little attention

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has been given to the emotions elicited in the service context (Mattila and Enz, 2002) and particularly there are no previous research related to the banking service industry. In this context, this study aims to identify bank service customer segments based on the emotions they experience when using the service, through an emotion-based segmentation. To the best of the authors' knowledge this is the first time that service experienced emotions are used as a segmentation variable in the bank sector, capable of identifying profiled and meaningful customer groups. More precisely, this study develops an emotion-based customer segmentation of bank service customers based on the emotions they experience when using the services, along with some behavioral outcomes of the service use, such as involvement, complaint behavior, satisfaction and loyalty. The reason is that focusing solely on emotional factors may overlook customers' behavioral outcomes, leading to a limited understanding of customer behavior. Therefore, developing an emotion-based customer segmentation provides a more precise customer profile, compared to other traditional segmentation analysis.

The research presented here will provide the bank customers' profile, since each of the identified segments is characterized and described, and this profile could help commercial banks to provide their services to match the needs of bank customers. This information, coupled with a better understanding of the emotions and affect experienced by customers when using these services could help commercial bank managers to create and develop more precise and tailored marketing strategies for each customer segment, in order to attract a greater number of customers and to better cover their needs.

Finally, the present research addresses two main goals: first goal is to examine whether different customer groups exist in bank services based on their experienced emotions, and the second research goal is to provide a profile of each identified customer group. The manuscript is structured as follows. A literature review is provided in Section 2. This is followed by the methodology adopted in the present work. Then, the results are presented in Section 4 and the clusters' description and profile are provided in Section 5. Finally, conclusions, managerial implications and research limitations are provided in the last section.

2. Literature review

2.1 Emotions experienced in service use

Emotional and affective responses are elicited during service experiences (Richins, 1997). More precisely, services have the potential to elicit negative and positive emotions, since they are a potential source of pleasure or frustration, influencing the customer perception of the service experience and service performance (Dubé and Menon, 2000). Furthermore, the great importance of emotions in consumer behavior is grounded on the affective responses elicited during service usage or product consumption (Dubé and Menon, 2000).

Similarly, prior research highlights the critical role of emotions in service encounters and in the overall evaluation of the service experience. The emotions experienced during the service use or product consumption guide and influence individual behaviors (Bagozzi *et al.*, 1999), influence decision making (Dewitt and Brady, 2003), contribute to the selection of service providers and to the evaluation of service quality (Mattila and Enz, 2002) and play a crucial role in the creation of customer satisfaction, retention, loyalty, complaining and future service behaviors (Dewitt and Brady, 2003; Lin and Liang, 2011; Batra *et al.*, 2012).

There are numerous conceptualizations of emotion in the marketing and consumer behavior literature. In their seminal work, Mehrabian and Russell (1974) indicate that customer experience and environmental stimulation trigger a psychological response called *emotion*, which could be divided into positive and negative affect. Likewise, Richins (1997) conceptualized emotions as a valenced affective reaction to the perception of situations. Later, authors like Baggozi *et al.* (1999) report that emotion could be defined as a mental state that